EXECUTIVE SUMMARY

I. Highlights of Financial Information

The Municipality's assets, liabilities and Equity as of December 31, 2014 were P53,038,030, P19,786,008.56 and P35,159,358.71 an increased by 11%, 13% and 16%respectively, compared of last year's assets, liabilities and equity.

The Municipality's income for CY 2014 amounted to P67, 494,453.45, an increased by 13% compared to last year's income of P59, 553,249.79.

The municipality's total assets, liabilities, equity, and income and expenses for CY 2014 compared with that of CY 2013 are as follows:

			Increase(Decrease)	
	2014	2013	Amount	Percentage
Assets	53,038,030.31	47,686,580.95	5,351,449.36	11%
Liabilities	19,786,008.56	17,493,947.73	2,292,060.83	13%
Govt. Equity	33,252,021.75	30,192,633.22	3,059,388.53	10%
Income	67,494,453.45	59,553,249.79	7,941,203.66	13%
Expense	61,960,978.96	56,950,446.75	5,010,532.21	9%
Appropriations	78,868,258.60	67,225,455.54	11,642,803.06	14%
Obligations	63,808,967.88	60,470,599.38	3,338,368.50	5%

II. Operational Highlights:

The following are the major projects completed by the municipality:

Major Programs/Projects/ Activities	Amount	Accomplishment	% of Accomplishment
Maintenance & Operation of CRWSS	348,368.07	348,368.07	100%
Operation & Maintenance of Garbage Trucks	475,000.00	470,415.87	99%
Purchase of 1 unit garbage truck	578,312.80	578,312.80	100%

III. Scope of the Audit

A financial and compliance audit was conducted on the accounts and operations of the Municipality of Camalaniugan for the period ended December 31, 2014. The audit was aimed at ascertaining the propriety of disbursement, the adequacy of accounting

books and records and the reliability of financial reports. Likewise, the audit was conducted to identify the practices that require compliance with laws, rules and regulations for the purpose of recommending measures to correct them

IV. Independent Auditor's Report on the Financial Statements

We rendered a qualified opinion on the financial statements due to the failure of the GSO and the Municipal Accountant to reconcile the balance of the Land and building accounts, erroneous recording of Due from Officers and Employees instead of Advances to Officers and Employees and transferring the unexpended balance of the LDRRMF in the General fund books to the Trust Fund books, thus affecting the fair presentation of the accounts in the financial statements

V. Significant Findings and Recommendations

1. Cash Advances granted for travels and other specific purpose amounting to P145, 383.00 as of December 31, 2014 remained unliquidated contrary to Section 89 PD 1445 and COA Circular No. 97-002 dated February 10, 1997. Moreover, the Cash Advances were recorded as Due from Officers and employees instead of Advances to Offices and employees as required under COA Accounting Circular No. 2006-001 and COA Accounting Circular Letter No. 2007-001 resulting in the misstatement of account balances in the financial statements.

   We recommended that the Accounting Department follow strictly the provisions of Section 89 of PD 1445 and COA Circular No. 97-002 dated February 10, 1997. Require the Accountable Officers to settle immediately their cash advances to avoid the withholding of salaries. Reclassify the account Due from Officers and Employees to Advances to Officers and Employees for fair presentation of accounts in the financial statements.

2. Unexpended balance of the Local Disaster Risk Reduction Management Fund(LDRRMF) totaling P2,011,329.37 in the General Fund books under the account Government Equity and in the Trust fund books under the account Due to LGU's amounting to P1,026,524.99, or a total of P3,037,854.36 were not transferred to the Trust Fund books using the "Trust Liability-DRRM" (Code 438), pursuant to Section 5.1.10 of COA Circular No. 2012-002 dated September 12, 2012, hence, the balances of the subject accounts were misstated.

   We recommended that the Municipal Accountant transfer the unexpended balance of the LDRRMF from the Government Equity account of the General Fund and Due to LGU's account in the Trust Fund books to account "Trust Liability-DRRM" (Code 438) under the Trust Fund books to reflect the correct balance of the affected accounts in the financial statements pursuant to Section 5.1.10 of COA Circular No. 2012-002 dated September 12, 2012.

Disbursements/Obligations amounting to P6, 944,761.20 from the 20% Development fund could not be verified immediately due to non-maintenance of separate subsidiary ledger, subsidiary account and trial balance for the fund contrary to Section 313 of Republic Act No. 7160.

We recommended that management should require the Municipal Treasurer to maintain separate cashbook and separate bank account for the 20% Development Fund and the Municipal Accountant to maintain a subsidiary ledger, subsidiary account and trial balance for the 20% Development fund for proper identification and proper monitoring on the utilization of the fund.

VI. Status of Implementation of Prior Year's Audit Recommendations

Out of the five (5) audit recommendations of last year's report, two (2) were fully implemented and three (3) was not implemented as of year-end, hence reiterated in Part II of the report.